

## Week 2 • Day 2

## Data Preprocessing for Machine Learning

Applied One-Hot Encoding, StandardScaler, and created a stratified 80/20 train/test split

| DATE                 | INTERN NAME | PROJECT                                      | MENTOR |
|----------------------|-------------|----------------------------------------------|--------|
| Day 9 of 28   Week 2 | <hr/>       | Customer Churn<br>Prediction & LTV<br>Engine | <hr/>  |

## ■ Technologies Used Today

Python

Pandas

Scikit-Learn

NumPy

joblib

## ■ Today's Key Metrics

5,634

Training Rows

1,409

Test Rows

26.5%

Churn % Both Sets

~47

Features After OHE

## ■ Day Objectives

- Apply One-Hot Encoding to multi-class categorical columns
- Scale numeric features using StandardScaler
- Create stratified 80/20 train/test split preserving churn ratio
- Save scaler and feature column list for API use later
- Understand and prevent data leakage

## ■ Tasks Completed Today

1. Created src/features/preprocessing.py with preprocess\_for\_ml() function
2. Dropped non-ML columns: customerid, loyalty\_segment

3. Applied `pd.get_dummies()` to 4 multi-class columns: `internetservice`, `contract`, `paymentmethod`, `multiplelines`
4. Confirmed shape after OHE: (7043, ~47 columns)
5. Separated target: `y = df['churn']`, `X =` all other columns
6. Created stratified 80/20 split: `X_train` (5634), `X_test` (1409) with matching churn %
7. Verified: `y_train` churn = 26.5%, `y_test` churn = 26.5% — stratification confirmed
8. Fitted `StandardScaler` on `X_train` ONLY (prevent data leakage)
9. Transformed both `X_train` and `X_test` using the fitted scaler
10. Saved `models/scaler.pkl` using `joblib.dump()`
11. Saved `models/feature_columns.pkl` — list of column names in correct order
12. Committed all files to GitHub

## ■ Concepts Learned

- One-Hot Encoding: why 'Month-to-month' must become a separate 0/1 column
- Label Encoding vs OHE: tree models can use label, linear models need OHE
- Data leakage: fitting the scaler on test data would give artificially inflated metrics
- Stratified split: ensures both train and test have the same 26.5% churn ratio
- `random_state=42`: makes the split reproducible — same result every run
- `joblib.dump/load`: fast way to save and load Python objects (models, scalers)
- Why feature column order must be saved — models expect features in exact same order

## ■ Tools / Software Used

| Tool / Library | Version / Notes | Status                                                           |
|----------------|-----------------|------------------------------------------------------------------|
| Scikit-Learn   | 1.3.2           | ✓ <code>train_test_split</code> ,<br><code>StandardScaler</code> |
| joblib         | 1.3.2           | ✓ <code>Model serialisation</code>                               |

## ■ Outputs / Deliverables Produced

- ◆ `src/features/preprocessing.py` — full preprocessing pipeline
- ◆ `models/scaler.pkl` — fitted `StandardScaler` (from training data only)
- ◆ `models/feature_columns.pkl` — list of 47 feature column names in correct order
- ◆ Train set: 5,634 rows, Test set: 1,409 rows
- ◆ Both sets have 26.5% churn (stratification verified)
- ◆ GitHub commit with preprocessing module and model files

## ■ Problems Encountered & Solutions

| Problem Faced | How I Solved It |
|---------------|-----------------|
|---------------|-----------------|

|                                                       |                                                                                                                    |
|-------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
| Shape mismatch error after OHE between train and test | Applied get_dummies() to the full dataset BEFORE splitting, ensuring identical columns in both train and test sets |
|-------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|

## ■ GitHub Commit Record

|                       |                                                                                                  |
|-----------------------|--------------------------------------------------------------------------------------------------|
| <b>Commit Message</b> | Week2-Day2: Preprocessing — OHE, StandardScaler, stratified split, scaler and feature cols saved |
| <b>Branch</b>         | main                                                                                             |
| <b>Files Changed</b>  | src/features/preprocessing.py, models/scaler.pkl, models/feature_columns.pkl                     |
| <b>Commit Hash</b>    | (fill after push)                                                                                |

## ■ End-of-Day Submission Checklist

|                               |                              |
|-------------------------------|------------------------------|
| ■ OHE applied to 4 columns    | ■ Train: 5,634 rows          |
| ■ Test: 1,409 rows            | ■ Both sets: 26.5% churn     |
| ■ Scaler fitted on train only | ■ models/scaler.pkl saved    |
| ■ feature_columns.pkl saved   | ■ preprocessing.py committed |
| ■ No data leakage confirmed   | ■ Day 9 commit on GitHub     |

## ■ Self Assessment

|                            |                         |                                          |                               |
|----------------------------|-------------------------|------------------------------------------|-------------------------------|
| <b>8/10</b><br>Self Rating | <b>6</b><br>Hours Spent | <b>Week<br/>2, Day<br/>2</b><br>Progress | <b>9/28</b><br>Day in Program |
|----------------------------|-------------------------|------------------------------------------|-------------------------------|

## ■ Key Learnings & Reflections

- ★ Never fit the scaler on test data — this is data leakage and makes metrics unreliable
- ★ Stratified split is essential for imbalanced datasets — random split could skew churn %
- ★ Always save feature\_columns.pkl alongside the model — the API needs to know the exact feature order

★ `pd.get_dummies` on the full dataset before splitting is safer than separate OHE

## ■ Plan for Tomorrow

- Train Logistic Regression as the baseline model
- Calculate accuracy, precision, recall, F1-score, and AUC-ROC
- Plot confusion matrix and ROC curve
- Save models/logistic\_regression.pkl

| INTERN SIGNATURE | MENTOR SIGNATURE | DATE SUBMITTED |
|------------------|------------------|----------------|
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